

The S&P 500 now trades at less than 16 times the Goldman Sachs estimate for operating earnings in 1997, at a time when the consumer price index (CPI) has been rising at an annual rate of about 2.8 per cent. When inflation has been 3.5 per cent or less over the last 45 years, price/earnings ratios have averaged 16.2.

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*Share repurchases have been used as a tax-efficient alternative to paying cash dividends which is often preferred by tax-paying investors.*

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However, even this may be to underestimate the extent to which US shares are undervalued. Many economists believe the CPI overstates inflation and that a truer picture may be offered by other measures such as the GDP deflator which currently suggests inflation of 1.8 per cent.

In the past, protracted periods of 2 per cent inflation have been associated with price/earnings ratios of 18 to 20. Our analysis suggests that share prices can rise from present levels—even without price/earnings ratio expansion—based on additional profit gains expected in 1997.